

New Generation challenges \$13,246.33 in DPP's and Harvey's MOC as to expert fees claiming they are not entitled to *preoffer* expert fees. To the contrary, DPP and Harvey assert that the claimed expert fees were only for costs incurred *after* 11/20/25 or *postoffer* expert fees. (Oppo., Dec. Lowe ¶ 10, Ex. "4".) As a result, these costs are allowed.

Item No. 15 (Other)

New Generation challenges one of the costs set forth in this category of DPP's and Harvey's MOC - the JAMS mediation fee (\$5,433.33.) However, the challenge is the same as for filing and motion fees and deposition costs, discussed above. New Generation has not established that these costs were unreasonable or unnecessary. It has not refuted DPP's and Harvey's *prima facie* showing that they were reasonably and necessarily incurred. These costs are allowed.

In addition, New Generation vaguely and in conclusory fashion, claims attorney hotel and transportation charges, attorney meals and per diem, and unexplained photocopying are not allowable. However, it has made this challenge, for the first time, in the Reply. Costs are allowed.

3.

CASE #	CASE NAME	HEARING NAME
CVPS2301515	NEW GENERATION INVESTMENTS, LLC VS PALM 10 ASSOCIATES, LLC	MOTION FOR ATTORNEYS FEES BY NEW GENERATION

Tentative Ruling: Denied.

Defendant/Cross Complainant to provide notice pursuant to CCP 1019.5.

Plaintiff/Cross-Defendant, New Generation Investments, LLC (New Generation), brings this motion for attorneys' fees pursuant to the Vacant Land Purchase Agreement (VLPA) entered into between New Generation and Defendant/Cross-Complainant, Palm 10 Associates, LLC (Palm 10) seeking \$202,049.50. (Civil Code § 1717(b)(1).) New Generation argues that it is the prevailing party because the jury returned a complete defense verdict in favor of New Generation on its Complaint and on Palm 10's Cross-Complaint. New Generation asserts its loss (\$1.5 million) was less than Palm 10's loss (\$2.9 million) so New Generation obtained the greater relief.

Defendant/Cross-Complainant, Palm 10 Associates, LLC (Palm 10), opposes the motion arguing that recovering the greater relief is not based on what was sought and *not* received but, on what it sought that was received; that Palm 10 is the prevailing party because it was *awarded* the \$1.5 million in deposit monies and extension fees as well as a release of the lis pendens; that Palm 10 is entitled to an attorneys' fees award of \$383,629.50; that the authority cited by New Generation that neither side recovered relief is factually distinguishable.

The Reply asserts that Palm 10's Opposition relies on a single factual assertion – that the Judgment awarded \$1.5 million to Palm 10, which it did not; the jury never reached the damages question of the special verdict; and, that the verdict was a mutual takes-nothing verdict.

Attorney Fees

In general, California follows the "American Rule" regarding entitlement to attorney's fees, whereby each party bears its own attorney's fees unless such fees are expressly provided for by statute, or are included as part of the terms of a contract. (CCP §1021; *Reynolds Metal Co. vs. Alperson* (1979) 25 Cal. 3d 124, 127.) Attorney's fees as an allowable cost item are governed by CCP §1033.5(a)(10) and (c)(5), and motions for such fees are governed by CRC 3.1702. The

court may properly award attorney's fees when a contract provides for the allowance of attorney's fees and suit is instituted to enforce the provisions of the contract: the trial court decides who is the prevailing party, and fixes attorney's fees pursuant to Civil Code § 1717. Section 1717 applies to contract provisions for the recovery of attorney's fees, whether such provisions are unilateral (that is, allowing only one party to recover), or reciprocal (such as one allowing recovery by a "prevailing party"). (*Santisas vs. Goodin* (1998) 17 Cal. 4th 599, 614).

New Generation brings this motion pursuant to Civil Code § 1717(b)(1) as the prevailing party who obtained the greater relief in the action on the contract. New Generation argues that it obtained "a simple unqualified victory by completely prevailing on or defeating, all contract claims" and the VLP (contract) provides for reasonable attorneys' fees. (*Scott Co. of Calif. v. Blount, Inc.* (1990) 20 Cal.4th 1103, 1109.) New Generation asserts it is the prevailing party because its loss was \$1.5 million and Palm 10's loss was \$2.9 million so, New Generation obtained the greater relief.

However, where "neither party achieves a complete victory on all the contract claims, it is within the trial court's discretion to determine which party "prevailed" on the contract." (Weil & Brown, CPG: Civ. Proc. Before Trial (TRG 2026) § 17:837 citing *Scott Co., supra.*) Moreover, if the case goes to trial, the award of costs and fees is *discretionary* with the court: "The court may also determine that there is *no party prevailing* on the contract" (*Id.* § 17:868 citing Civil Code § 1717(b)(1).) "This allows the court to withhold fees where the outcome is a "draw" as a practical matter, although one party may be "technically speaking" a prevailing party for purposes of court costs." (*Id.* citing *Hilltop Investment Assocs. v. Leon* (1994) 28 Cal.App.4th 462, 466.) "This determination is appropriate where both parties seek relief but neither prevails; or where the ostensibly prevailing party received only part of the relief sought. In such cases, the judgment is "considered [both] good news and bad news to each of the parties." (*Id.* § 17:869 citing *Hsu v. Abbata* (1995) 9 Cal.4th 863, 874-875.)

"But it is an abuse of discretion to award fees to a party who prevailed on a minor "battle" but who lost the "war" (the main issue in the action)." (*Id.* citing *Artesia Med. Dev. Co. v. Regency Assocs., Ltd.* (1989) 214 Cal.App.3d 957, 966.) "Where relief was denied on both the complaint and cross-complaint, in cross-actions on the same contract, the court decided there was *no* prevailing party under Civ. Co. § 1717. The fact the defendant was the prevailing party under CCP § 1032 for purposes of recovering its court costs was irrelevant." (*Id.* § 17:870 citing *McLarand, Vasquez & Partners, Inc. v. Down Sav. & Loan Ass'n* (1991) 231 Cal.App.3d 1450, 1456.)

Here, the "Defense Judgment" was filed on 3/16/26, and entered on 3/24/26. It attaches the jury's verdict as Exhibit "A". As to New Generation's Complaint, the jury found no liability by Defendants, Palm 10, Harvey, and Desert Pacific Properties (DPP) to New Generation's Complaint. (Defense Judgment p. 17 of 21.) The jury also found no liability by New Generation as to Palm 10's Cross-Complaint. (*Ibid.*) The verdict further provided that New Generation "shall take nothing" from Palm 10, Harvey, and DPP for its claims asserted in its Complaint. (*Ibid.*) And, Palm 10 "shall take nothing" from New Generation. (*Ibid.*)

New Generation argues that it was the prevailing party because it obtained the greater relief by proving a loss (\$1.5 million), which was less than Palm 10's loss (\$2.9 million). However, the Judgment is clear that both New Generation and Palm 10 took nothing on their respective actions. These circumstances do not indicate that New Generation obtained the greater relief to make it the prevailing party on the contract claims. New Generation is, therefore, not entitled to attorneys' fees.